

Complete Accounts Flow

From company setup and project budgets through purchases, inventory, bills, payments, sales, payroll, assets, reporting and year close.

Purpose

A non-technical explanation of how operational documents become controlled accounting records and management reports. This guide describes the system as audited on 27 July 2026. It explains current capability, control points, and the difference between built functionality and live onboarded data.

1. Owner's executive picture

Audit verdict

The workflows described in this guide are implemented in application code and covered by the current automated suite. The suite passed again during this documentation audit: 199 tests and 999 assertions.

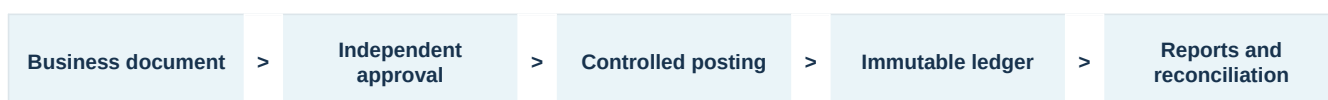
Readiness warning

The local database is foundation-ready but not operationally onboarded. It currently has no employees, payroll runs, projects, parties, journals, invoices, inventory movements, bank accounts, tax codes, or opening balances. Real company data, approval limits, bank details, tax configuration, contracts, and opening balances must be loaded before live use.

Roman Urdu bottom line

Accounts ka engine complete hai: har company ki separate books, double-entry ledger, approvals, purchases, inventory, vendor bills, payments, sales, payroll posting, assets, inter-company aur consolidated reports. Lekin live transactions aur opening balances abhi load nahin huay.

The accounting engine in one line



Single source of financial truth

Only Posted and Reversed Journal Lines feed financial statements. A requisition, PO, approved invoice, payroll approval or bank file does not affect financial results until its defined posting action succeeds.

Foundation already provisioned

Foundation	Current local count	Meaning
Companies	6	Each legal company has separate books.
Standard account template	101	Controlled group reporting structure.
Company accounts	606	101-account snapshot for each company.
System mappings	126	21 required accounting purposes per company.
Financial years / periods	6 / 72	July-June and 12 monthly periods per company.
Voucher sequences	84	14 company/type/year sequences per company.
Journal entries	0	No live books or opening balances have been loaded.
Tax codes / bank accounts	0 / 0	Statutory rates and real banks require business onboarding.

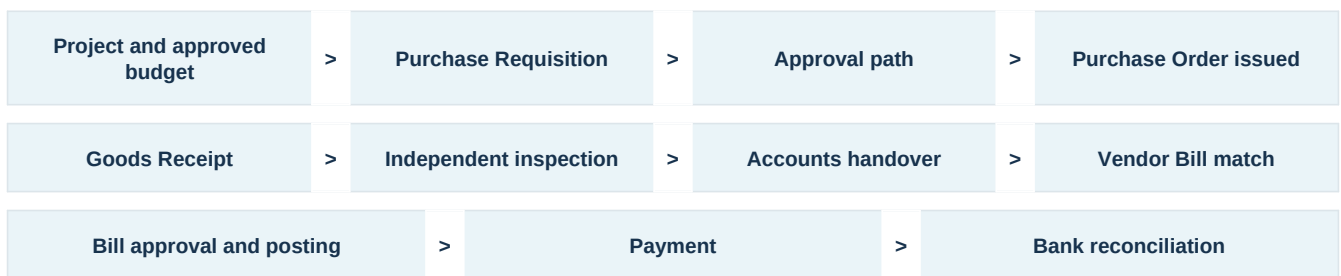
2. Core design: separate books, shared control

- Every company owns its Chart of Accounts, financial periods, vouchers, cash/bank, parties, projects, inventory, payroll postings and assets.
- The group uses one controlled account template so reports can be consolidated without merging legal ledgers.
- Customers, vendors, employees, projects, sites, cost centers, bank accounts and assets are dimensions or subledgers, not duplicate GL accounts.
- Money and quantities use four-decimal calculation precision; PKR is displayed to two decimals.
- Financial years run July to June. Periods can be Open, Closed or Locked; reopening requires permission and a reason.
- Foreign currency is outside the approved initial scope.

Profile-driven behavior

YM Construction uses construction accounts; BMC Trading activates trading inventory and COGS; 7-Orbit IT and Medical Billing use service revenue profiles; BMC and 7-Orbit use Generic profiles. The workflows do not branch on company names.

3. Procure-to-pay: complete purchase flow



A. Request and order

The requester selects the company Project/Site, materials or services, quantities, required date and estimated rates. Submission checks the approved project budget and existing commitments. Amount-based sequential approvals are configurable; if no live limit is configured, a safe Finance approval step applies. The preparer cannot approve the same document.

An approved Purchase Requisition can be split into several Purchase Orders. The PO captures Vendor, Project/Site, terms, taxes and an immutable commercial snapshot. Issuing the PO reserves quantities. PR and PO approval deliberately create no ledger entry.

B. Receive, inspect and hand over

Stage	Independent actor	Financial / inventory effect
Receive	Receiver	Records delivery and prevents over-receipt. No stock yet.
Inspect	Different inspector	Accepted plus rejected must equal received. Rejected goods never enter stock.
Accounts handover	Third actor	Accepted material enters site inventory and posts Site Inventory debit / GRNI credit.
Return	Authorized operator	Rejected or accepted returns are quantity-bounded and reopen PO availability where applicable.

C. Vendor Bill and three-way match

The Vendor Bill ties the PO, accepted GRN quantities and supplier invoice together. Stock lines are allocated FIFO against accepted, Accounts-handed-over receipts. Quantity, rate and tax differences are compared with company tolerance settings. Defaults are zero tolerance; an exception needs a special permission and recorded reason.

D. Bill posting and payment

Posting clears GRNI for stocked purchases, charges Project cost for direct services, records recoverable input tax and deductions, and credits Accounts Payable. Treasury then creates a Payment and allocates it to the posted Vendor Bill. Partial and full settlement are supported, and over-allocation is blocked. The bank statement is imported, matched to posted bank activity, reconciled and closed.

Owner control

A PO proves authorization to buy. A GRN proves receipt. Inspection proves acceptance. A Vendor Bill proves the supplier claim. A Payment proves settlement. Bank reconciliation proves the bank agrees with the books.

4. Inventory and project cost

Operation	System behavior	Accounts behavior
Receipt	Accepted material increases site/item quantity and recalculates moving weighted-average cost.	Dr Site Inventory / Cr GRNI.
Site transfer	Moves quantity and value between sites at existing average cost.	No GL entry because ownership and control account remain the same.
Project issue	Reduces stock at current average cost and tags the Project.	Dr selected Project cost / Cr Site Inventory.
Project return	Returns material and recalculates stock.	Opposite Project cost effect.
Adjustment	Authorized increase or decrease with a selected offset account.	Balanced Inventory journal.
Vendor return	Reduces accepted inventory and reopens receipt availability.	Reverses GRNI or linked financial effect.

Hard stop

Negative inventory is prohibited. If any line fails, the whole multi-line operation rolls back: no partial quantity, value, movement, PO update or journal remains.

5. Sales, running bills and customer receipts

Draft invoice or running bill	>	Submit	>	Approve
Post to Accounts	>	Allocate receipt	>	Report AR and profit

Business model	Document	What posting does
Construction	Certified Running Bill	Records Project revenue, AR, configured retention, WHT, mobilization recovery and tax.
IT / Medical Billing	Service Invoice	Records service revenue and AR using the company's active profile and effective tax configuration.
Trading	Trading Sale	Records Revenue and AR, issues inventory at moving average cost, and records COGS.
Correction	Customer Credit Note	References a posted source, respects remaining quantity and posts the opposite effect.

Customer receipts are posted through Treasury and allocated to posted Customer Invoices. Partial receipts are allowed; over-allocation is blocked. AR Aging, Customer Ledger and Unpaid Invoice reports use the remaining posted balance.

Project profitability

Project revenue and cost are not manually typed into the Project record. They are derived from posted journal lines carrying the Project dimension. This makes Budget vs Actual and Profitability traceable to real entries.

6. Payroll, advances and Accounts

An approved Payroll Run is posted through configured mappings. Salary expenses or direct project labour are debited; Salary Payable, Employee Advance recovery and other liabilities are credited. Treasury Payments later settle each employee open item through Cash or Bank.

Approved payroll	>	Post payroll journal	>	Employee open items	>	Treasury payments	>	Payroll / GL reconciliation
------------------	---	----------------------	---	---------------------	---	-------------------	---	-----------------------------

Separation

Payroll approval does not mean the payroll is in the ledger, and ledger posting does not mean cash has left the bank. Approval, posting, settlement and lock are separate controls.

7. Fixed assets

Create asset	>	Submit and approve	>	Capitalize
Depreciate by period	>	Transfer if needed	>	Dispose or reverse

- Asset categories map cost, accumulated depreciation, depreciation expense and disposal gain/loss accounts.
- An asset can come from a posted Vendor Bill line or controlled manual capitalization.
- Straight-line depreciation schedules preserve opening, charge, closing accumulated depreciation and carrying amount.
- Transfers change custodian, Project/Site/Cost Center or location without inventing a financial effect.
- Disposal removes cost and accumulated depreciation, records proceeds and calculates gain or loss.
- Asset Register and Asset-to-GL reconciliation reports confirm the subledger agrees with Accounts.

8. Journals, reversals and periods

Control	Business rule
Balanced journal	At least two lines; every line has one positive debit or credit; total debit equals total credit.
Valid accounts	Active same-company leaf accounts only; control accounts are system-posted where configured.
Open period	Posting date must fall in an Open period.
Maker-checker	The preparer cannot approve or post the same journal.
Immutable history	Posted entries and lines cannot be edited or deleted.
Correction	A linked opposite journal is posted in an Open period; the original remains visible.
Idempotency	Repeated stale requests do not create duplicate postings or voucher numbers.
Dimensions	Configured control and cost accounts require Party, Project, Site, Cost Center, Employment, Bank, Asset or Related Company evidence.

9. Bank and cash control



- Company bank numbers and IBANs are encrypted and masked without sensitive-data permission.
- Payments, Receipts and same-company Cash/Bank Transfers use mapped active liquid accounts.
- Bank statements have strict normalized CSV headers, checksums, fingerprints and running-balance validation.
- Partial matching and unmatching are supported before close.
- Closing requires full-match and GL-balance proof. Reopening requires authorization and a reason.
- Cross-company cash movement must use the inter-company workflow, not a same-company transfer.

10. Inter-company, consolidation and year close

Inter-company

A group transaction creates linked due-from and due-to journals in two separate books. The origin and counterparty companies each require their own independent approver, and the posting actor needs access to both. If either side is invalid, neither side posts.

Consolidation

Authorized consolidation begins from a real parent and active descendants. It maps accounts through the controlled template, combines Trial Balance, Balance Sheet and P&L, eliminates internal due-from/due-to balances and reports mismatches. It does not create a fake All Companies ledger.

Year close

The close snapshots Revenue and Expense balances with a checksum, requires independent approval and posting, transfers the annual result to Retained Earnings and closes the final period. A correction requires a reasoned reopen and linked reversal.

11. Reports the owner receives

Area	Reports
Core financials	General Ledger, Trial Balance, Profit & Loss, Balance Sheet.
Payables	AP Aging, Vendor Ledger, Unmatched Receipt, Unpaid Vendor Bills.
Receivables and projects	AR Aging, Customer Ledger, Unpaid Invoices, Project Profitability, Budget vs Actual.
Treasury	Cash Book, Bank Book, Treasury Position, Unreconciled Bank Items.
Payroll	Payroll / GL / settlement reconciliation, Employee Advance ledger.
Assets	Fixed Asset Register, Asset / GL reconciliation.
Group	Consolidated Trial Balance, Balance Sheet, P&L, inter-company reconciliation and CSV export.
Control	Accounting integrity report and deterministic recovery manifest.

12. Owner operating rhythm

Frequency	Review
Daily	Unapproved critical documents; rejected items; failed postings; cash/bank exceptions; stock below operational thresholds.

Frequency	Review
Weekly	Budget commitments, open POs, uninspected GRNs, unmatched receipts, overdue Vendor Bills, overdue customer invoices and unreconciled bank lines.
Monthly	Close subledgers, reconcile AP/AR/inventory/payroll/assets/bank to GL, review Trial Balance and management P&L; then close the period.
Yearly	Complete all reconciliations, approve closing snapshot, post annual result, lock evidence and retain recovery manifest.

13. Go-live boundaries and checklist

Not live-configured yet

- No opening balances or approved cutoff Trial Balance.
- No customers, vendors, projects, budgets, items, inventory or live transactions.
- No company bank accounts or imported statements.
- No active statutory tax, WHT, retention or other rate configuration.
- No live approval limits; procurement falls back to the safe Finance step.
- No foreign currency.
- Infrastructure backup scheduling and real restore execution remain deployment responsibilities.
- Recoverable inclusive tax on stocked lines remains blocked until an inventory-tax revaluation policy is approved.

Recommended activation order

Confirm legal data and memberships; enter banks; approve tax and deduction codes; onboard parties/items/projects/budgets; approve workflow limits; load and independently validate opening balances; run end-to-end sample purchase, sale, payroll and bank cycles; reconcile every subledger; obtain accountant sign-off; then open live periods.

14. Quick glossary

Term	Plain meaning
GL / General Ledger	The official collection of posted debit and credit lines.
Subledger	Detailed customer, vendor, employee, inventory or asset records that reconcile to a GL control account.
GRNI	Goods received and accepted but not yet invoiced by the vendor.
AR / AP	Money customers owe the company / money the company owes vendors.
COGS	Cost of inventory sold.
Open period	A month in which authorized entries may still be posted.
Three-way match	Comparison of Purchase Order, accepted receipt and Vendor Bill.
Idempotent	Repeating the same posting request does not create a duplicate.